

HOW IT WORKS: HEALTH INSURANCE POLICIES

Kaylee, Meghan, and Carter have just graduated from college and have landed excellent jobs that come with health insurance. Go, Kaylee, Meghan, and Carter. Kaylee never gets sick, has never broken a bone in her life, and goes to the doctor a few times a year for a basic health check. Meghan occasionally gets sick and participates in extreme sports that sometimes leave her injured. Poor Carter seems to be sick all the time and has chronic problems with her back that require assistance from specialists. Each graduate has been offered the policy options highlighted in Table 10.3.

Table 10.3. Sample health insurance plans

Benefits and services	Option 1	Option 2	Option 3
Monthly premium	\$0	\$100	\$200
Annual deductible	\$2,000	\$500	\$250
Out-of-pocket max	\$3,500	\$2,500	\$2,000
Office visit	\$25 copay	\$25 copay	\$15 copay
Specialist visit	\$45 copay	\$35 copay	\$35 copay
Preventive services	\$15 copay	No charge	No charge
MRI, CT, X-ray, Lab tests	20% of charges	No charge	No charge
Emergency services	20% of charges	\$250 copay	\$150 copay

There are pros and cons to each of these options. Because Kaylee is so healthy and rarely needs medical services, she may want to consider Option 1. Her monthly premium will be \$0, and paying \$0 is always awesome. If she chooses Option 1 and only